
SUBJECT NAME:
Finance II

GENERAL OBJECTIVES OF THE SUBJECT:

The main objective of the course is to introduce the student to one of the most important financial areas in the last years: capital markets. The course starts with a description of financial assets and market. Also, a review of statistical concepts to be used along the course is made.

Next, the course introduces the Modern Portfolio Theory beginning with concepts like preference and risk aversion. A mean-variance model is developed with a special emphasis on the risk-return relation, which is a basic precept for any financial decision, and on the benefits of diversification. Next, the course presents Asset Pricing Models. It presents the Capital Asset Pricing Model, discussing its advantages and critiques. Next the Arbitrage Pricing Theory is presented. This section is wrapped up with an analysis of efficient market hypothesis.

The last section of the course seeks to impart knowledge on share analysis. This includes delving into share characteristics and share valuation models (technical analysis, relative valuation and cash flow valuation). A review of financial statement is also done.

TOPICS AND SUBTOPICS:

I. Market and Financial instruments structure and characteristics

- Investments surroundings
- Financial instruments
- Stocks quote
- Interest rate and risk prices history
- Professional standards and ethics

II. Investment portfolio Modern Theory

- Risk and risk aversion
- Distributing funds between risky and non-risky assets
- Optimal portfolio selection

III. Capital Asset Pricing Model

- Capital Asset Pricing Model
- Index Model
- Arbitrage Pricing Theory
- Market Efficiency

IV. Shares analysis

- Valuation by multiples
- Valuation by Cash Flow

EVALUATION OF THE COURSE:

First partial exam:	25%
Second partial exam:	25%
Homeworks and quizzes	10%
Final exam:	40%

BIBLIOGRAPHY:

Bodie Zvi., Kane, Alex. y Marcus J. Alan. (2005). *Investments*. USA. Irwin.

READING SELECTIONS:

Elton J. Edwin y Gruber J. Martin. (1995). *Modern Portafolio Theory and Investement Analysis*. USA. John Wiley and Sons, Inc.
